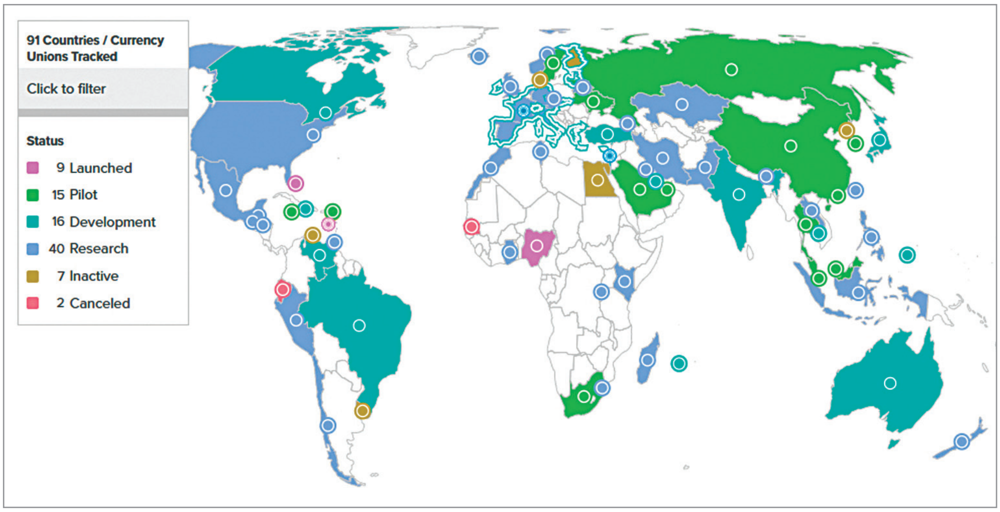

Fig. 2: Different stages of development of CBDCs (Source: Atlantic Council)

would also go down. As more money goes into private currencies, the money circulating in the economy would go down. With multiple private currencies being used simultaneously, the government would lose policy control of the economy. Their ability to control inflation would be weakened. All of this could lead to financial instability.

CBDCs overcoming the risk of crypto

While private, decentralised, and unregulated digital currencies are risky and troublesome, there is also the good side—regulated and centralised digital currencies could inject a lot of efficiency into a country's payment mechanism. For this reason, governments across the world are in the process of launching their own central bank digital currencies. CBDCs offer the benefits of cryptocurrencies, sans the risk, because the respective country's central bank would play its role as a regulatory and stabilising force.

Nine countries, including The Bahamas and Nigeria, have launched their CBDCs, while fifteen, including Russia and China, are in the pilot stage. Sixteen countries, including India, are currently developing their CBDC framework.

While announcing the upcoming digital rupee, Finance Minister said that its introduction will give a huge boost to the digital economy and will lead to a more efficient and cheaper currency management system.

"Central bank digital currencies are not to be confused with cryptocurrencies in that, while they may use encryption and may reside on the blockchain, they are backed by the respective central banks of sovereign states. They are the liability of the central bank and backed by the central bank assets just like the physical currency put into circulation by a central bank. Their unit value does not fluctuate. So, one rupee is valued at one rupee whether in cash or as a digital holding. In terms of exchange value to another central bank currency, say a dollar, that rupee's value may change based on the various dynamics of foreign exchange valuation," explains Lalwani.

Mihir Gandhi, Partner and Leader - Payments Transformation, PwC explains how CBDC could benefit a nation: "Features like trust, programmability, traceability, etc will impart additional benefits over physical form. Digital rupee will complement the existing payment modes and can make a significant impact in a few notable areas like offline payments, programmable or targeted payments (subsidies), cross border payments and remittances. Advantage is it is traceable, and lower-cost than physical currency to handle and manage, and interoperable with other digital currencies for international transactions."

Does India need a CBDC?

As soon as the announcement about the digital rupee was made,

Why CBDC?

- Creates new opportunities
- Reduces the manufacturing and logistical overheads involved in handling physical cash; very beneficial in a country with high currency to gross domestic product (GDP) ratio
- Makes digital payments and online fund transfer faster, cheaper, and more secure
- Enables instantaneous global payments at a fraction of the cost, thereby giving a fillip to international trade and economic growth
- It also helps to streamline the existing economic infrastructure and makes it easy to implement new monetary and fiscal policies
- Promotes financial inclusion; even those without bank accounts can use it
- Makes it easy to pump money into the economy
- Competes with private cryptos, and limits their usage
- Can improve enforceability of small contracts, using blockchain technologies
- Combats money laundering and financial terrorism by making cross-border transactions more secure
- Helps validate direct benefit transfers, using pre-programmed CBDC that can be used only for the specific purpose. For example, CBDC issued for LPG subsidies can be paid only into the account of LPG gas agencies